Theory case · Topic 1 · 2 points · 15 min

C01 — SkyCourier: real and financial flows of a drone-delivery start-up

> *SkyCourier S.L. delivers medicines by drone to villages in the Pyrenees. It rents a hangar from a local farmer, employs twelve pilots and technicians, and was financed by investors who bought its shares. Each month it charges the regional health service and several pharmacies for the deliveries. In 2025 the families of the valley spent part of their wages on SkyCourier's new home-delivery service, and the company paid its first dividend to its shareholders.*

Part (a) · 0.75 points

Identify SkyCourier's inputs and outputs, and classify the inputs as factors of production

SkyCourier's **output** is a **service**, the delivery of medicines and parcels. Its **inputs** are the factors of production [Slides 3-4]:

Factor	In SkyCourier
Land (natural resources)	The rented hangar site
Labour	The twelve pilots and technicians
Capital	Drones, charging stations, software; the money provided by investors
Entrepreneurship	The founders who bring the other factors together and take the risk

The business activity is precisely the transformation of these inputs into the delivery service.

KEY POINTS

- Output: a service (drone delivery), not a good.
- Land: the hangar site; labour: pilots and technicians; capital: drones, equipment and the investors' money; entrepreneurship: the founders who coordinate and bear the risk.

Part (b) · 1.25 points

Describe the real flows and the financial flows between SkyCourier and the households, naming the two markets in which they take place

The circular flow of income links firms and households through two markets [Slides 5-11]:

Market	Real flow	Financial flow (opposite direction)
Factor market	Households → SkyCourier: the hangar (land), work (labour), savings invested in shares (capital)	SkyCourier → households: rent to the farmer, wages to the staff, dividends to the shareholders
Market of goods and services	SkyCourier → households: the delivery service	Households → SkyCourier: the price of the deliveries, paid out of their wages

The flows close a circle: the wages paid by SkyCourier return to it, in part, when the families buy its home-delivery service. The **real flows** are the factors and the service; the **financial flows** are their monetary compensation, running the other way [Slide 11]. What SkyCourier keeps after paying all the factors is its **profit**, from which the dividend was paid.

KEY POINTS

- Factor market: households deliver land, labour and capital; SkyCourier pays rent, wages and dividends.
- Goods and services market: SkyCourier delivers the service; households pay for it.
- Real and financial flows run in opposite directions; what the firm keeps is its profit.